Selling Exhausts

De-leveraging slows but Fear & Greed hits 11 as Iran strikes Qatar LNG and oil cargo prices smash records.

MARKETS

THE BLEEDING SLOWS—BUT DOESN'T STOP. Thursday's –0.25% was the smallest daily decline since Wednesday's –1.40% selloff, but that's cold comfort when Fear & Greed has collapsed to 11—the lowest reading of 2026 and deep into Extreme Fear territory. S&P –0.25% to 6,598 (SPY $659.80). Dow –0.42%. Nasdaq –0.32%. The Russell was the sole bright spot at +0.65%—the first green close for small caps in eight sessions, suggesting some bottom-fishing in the most beaten-down corners. UVXY fell –4.02% to $48.98, pulling back from Wednesday's spike. The pace of selling is decelerating, but the direction hasn't reversed. We are now firmly below the 200DMA for a second consecutive close.

Gold crashed –4.12% to $426 (GLD). Silver –4.40%. This is the second consecutive day of sharp precious metals selling during an active shooting war—a textbook forced-liquidation pattern. AEM –5.77%, GFI –4.72%. When the ultimate safe haven sells harder than equities during a geopolitical crisis, the message is clear: margin calls are overwhelming fundamentals. The dollar is weakening simultaneously, which should be gold-positive. It isn't, because leveraged positions must be unwound regardless of thesis. Historically, forced-liquidation patterns of this nature tend to reverse sharply once the mechanical selling exhausts.

Brent futures –1.96%, WTI –3.54%—the first meaningful pullback in a week. The headline number warrants context. Reuters reports physical oil and fuel cargo prices set all-time records as the Iran war chokes Middle East supply. The divergence between paper futures (de-leveraging alongside everything else) and physical delivery premiums (rising sharply) is the key signal. US pump prices are up 30% since the war began and could approach $4/gallon if current trends persist. Morgan Stanley pushed rate cut expectations to September and December—the market is repricing for a prolonged energy shock, not a quick resolution. VLO +1.51%, CVX +1.42%, OKE +2.55%—energy infrastructure continues to work.

LRCX surged +4.13% to $234—now +11.3% in four sessions since GTC. AMD +2.91% cleared $205, with the Samsung AI partnership acting as a real catalyst. KEYS +2.14%, ADI +0.60%, QCOM +0.62%—the picks-and-shovels AI trade is resilient even as the broad market bleeds. On the growth side, ATAT +4.11% on continued China hotel expansion, SUPV +4.33% on Argentine fintech momentum, and MARA +3.36% bouncing from Wednesday's crypto selloff. The FDX earnings beat ($5.25 vs. $4.16 est.) after the close suggests logistics demand is holding despite rerouting disruptions. BABA missed badly ($6.96 vs. $11.88 est.)—China's macro read deteriorated further.

IOWN Tactical: Fear & Greed at 11. Gold down 7.2% in two days during a war. Paper oil falling while physical cargoes hit records. This pattern is consistent with late-stage de-leveraging—when correlations go to one and everything sells regardless of fundamentals. Historically, these episodes resolve with sharp reversals, but the timing remains uncertain. S&P at 6,598—our –20% trigger at ~5,600 is still 15% away. Avoid Erosion—discipline over impulse.

GEOPOLITICS

DAY 21—IRAN HITS QATAR LNG, ISRAEL ESCALATES FURTHER. The war has now targeted the world's largest LNG exporter. Iran attacked Qatari LNG infrastructure—Cheniere and Venture Global shares surged on the news as global gas supply tightens further. Israel launched more attacks on Iran overnight as the crisis deepens. Netanyahu publicly stated he wants oil and gas to flow through Israel post-war—an explicit declaration that the end state isn't restoration of the status quo but a permanent redrawing of Middle East energy routes. Trump's $200B Pentagon budget request faces stiff opposition in Congress per Reuters, and a new Reuters/Ipsos poll shows Americans expect ground troops but don't support it. The domestic political constraint on escalation is tightening just as the military campaign expands.

Reuters reports US crude is now heading to Asia via the Panama Canal as the Iran crisis redraws global trade flows. This is not a temporary adjustment—it's the beginning of a structural shift in energy logistics. The EU is eyeing energy tax cuts and subsidies to cushion the blow; India's rupee breached 93 per dollar to hit a record low. The second-order effects of the Hormuz disruption are proliferating: European chip buyers are paying more and tapping backup stores as air freight costs spike (CNBC, re: NXPI). The UAE dismantled a terrorist network funded by Iran and Hezbollah—Gulf states are hardening their posture. Every week this conflict continues, the permanent infrastructure changes deepen.

Netanyahu wants Israeli territory to become the alternative energy corridor for Middle Eastern oil and gas post-conflict. If taken at face value, this means Israel's war aims go far beyond degrading Iran's military—they include capturing a permanent role in global energy transit. That vision would require sustained conflict to make the

Hormuz route unviable long enough to force permanent rerouting. MATX +1.33% (shipping), OKE +2.55% (midstream), and the broader US energy logistics chain stand to benefit in a scenario where Gulf transit risk remains permanently elevated. Physical world matters.

ON OUR RADAR

1. Fear & Greed at 11 is a contrarian signal—but not yet an actionable one. Oversold oscillators are attracting bottom-fishing commentary, but sentiment extremes can persist for weeks during active conflicts. The 2022 low hit Fear & Greed 6 before reversing. We're at 11. The forced-liquidation pattern (gold, crypto, equities all selling) suggests the mechanical selling may not be complete. Our discipline: wait for the –20% trigger at ~5,600 or a clear technical reversal above the 200DMA at ~6,608.

2. Paper vs. physical oil divergence is the most important signal in markets. Brent futures fell –1.96% but physical cargo prices set all-time highs. This happens when financial players de-leverage positions while real-world supply is genuinely constrained. Historically, when de-leveraging subsides, futures tend to re-converge with physical premiums. VLO, CVX, and OKE are well-positioned if that pattern holds. The 30% pump price increase since the war began is flowing directly to refiner margins. Research Reveals Opportunities.

3. FDX beat is a positive logistics signal—but BABA miss clouds China. FedEx posted $5.25 vs. $4.16 estimate—a 26% beat. In a market starved for earnings visibility beyond oil, this matters: global parcel demand is holding despite rerouting costs. BABA at $6.96 vs. $11.88 est. is a material miss—Chinese consumer spending is weaker than even bears expected. PDD –3.27% dragged down in sympathy. Our China-adjacent names (FINV –4.93%, PDD –3.27%) are feeling this. ATAT +4.11% is the exception—domestic travel resilience diverging from e-commerce weakness.

4. LRCX is the GTC trade that keeps working. +4.13% Thursday, +11.3% since Monday. The stock broke through its 50-day, then its 100-day, and is now testing the February consolidation zone at $235. ADI +0.60%, TEL +1.09%, QCOM +0.62%—the AI picks-and-shovels thesis is absorbing the broader market selloff. Lam is now the top-performing IOWN holding over the past week. If it holds $230 on any pullback, the technical structure would turn notably more constructive. Think Like an Owner.

5. Gold miners may be approaching attractive entry levels if forced selling exhausts. AEM has dropped from $208 to $185 in a week—an 11% drawdown during a war that should be gold-positive. GFI from $46 to $41. The underlying thesis remains intact: gold miners generate strong cash flow at $2,600+/oz spot. The selling appears mechanical (margin calls, CTA liquidation), not fundamental. If the forced liquidation subsides, these names historically tend to recover quickly given the commodity tailwind. AEM's $178–$180 support from December is the level to monitor. We're $5 above it.

6. Morgan Stanley pushing rate cuts to September changes the rate calculus. The market entered March pricing two cuts in 2026. Now MS sees September at earliest, with December as the second. This is a direct consequence of $110+ Brent repricing inflation expectations. TLT bounced +0.62% Thursday after selling for three straight sessions, but the direction of travel is fewer cuts, longer. ADP +1.14% and NEE +1.59% both outperformed—quality yield names with pricing power tend to hold up well in a higher-for-longer rate environment. Simplicity Over Complexity.

For internal IOWN investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. IOWN is an RIA under Paradiem.